Emiliano Rinaldi

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Professor Matthias Doepke
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Education

London School of Economics 2021 – 2027 (expected)
MRes/PhD in Economics

Bocconi University 2017 – 2020
MSc in Economics and Social Sciences, 110 cum laude

Bocconi University 2014 – 2017
BSc in Economics, 110 cum laude

Research Fields

Primary	Environmental Economics, Urban Economics
Secondary	Development Economics

References

Gharad Bryan
London School of Economics
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Daniel Sturm
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Clare Balboni
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Job Market Paper

Rebalancing Water? Evidence from Day Zero in Cape Town
with Pol Simpson
Draft: emilianorinaldi.com/files/Rinaldi_JMP.pdf

Abstract: During a drought, a city must allocate a large reduction in water between households and the firms that employ them. A single price allocates water efficiently when each user's willingness to pay equals the social marginal value of their water consumption, which may fail in the presence of externalities or other distortions. We study Cape Town's 2016-2018 drought, when the city increased water prices sharply for households and firms. We use monthly records on all metered water use in the city and matched employer-employee tax records across the country. We find that water price increases led to large and lasting reductions in employment in exposed sectors, driven by establishment closure. Wages in these sectors did not fall, even for new hires, and exit was concentrated among small establishments, consistent with downward wage rigidity and credit constraints. Such distortions create a wedge, with the social value of water to firms rising above their willingness to pay for it. In contrast, households cut consumption sharply but remained above health and sanitation thresholds. To quantify the social cost of reductions in firm water use, we build and estimate a dynamic model of the city with these distortions and costly labour reallocation. Using the model, we find that placing a larger conservation burden on households could have reduced the drought's welfare cost by 52 percent. When policymakers cannot address underlying frictions directly, corrective pricing between households and firms can be used as a second-best policy to reduce the welfare cost of temporary shortages.

Working Papers

The Incidence of Local Public Spending Under Imperfect Mobility: Evidence from London
Draft: emilianorinaldi.com/files/Rinaldi_London_Public_Spending.pdf

Abstract: The level of local public spending is a key input in local services, the quality of which can be capitalised into local house prices. If residents are fully mobile, this value should be captured by landlords, but under imperfect mobility the effect is not clear. I study London, where 33 local councils provide local services inside a common housing and labour market. Almost a quarter of households are beneficiaries of welfare or council support which cannot be transferred across boroughs, making them de facto immobile. Using the 2010 cuts to borough funding, I compare quality-adjusted house-price changes for homes near the same borough boundary but exposed to different spending cuts. I find that a 10 percent increase in council spending raises house prices by 0.9 percent. I use this estimate in a quantitative spatial model of the city, and show that when a council cuts services, private rents in the borough fall, offsetting part of the loss to private renters. Immobile residents are unable to re-sort, so more of the effect of a spending change falls on them, and all of it falls on social tenants, whose rents do not change. The funding cuts were deepest in boroughs with a higher share of immobile residents, so they bore a disproportionately large share of the welfare losses.

Work in Progress

Climate Security and Informal Settlements: Evidence from Sierra Leone
with Gharad Bryan, Abou Bakarr Kamara, and Nick Tsivanidis

Abstract: Slums are a ubiquitous feature of cities in developing countries. They often lack sanitation or safety from floods, yet provide poor households with affordable access to the city. A natural policy intervention is to provide these residents with the public goods they are missing, but it is unclear how best to do so. Direct provision of sanitation and safety may raise rents and price out the residents it is intended to help, while relocating them may come at the expense of market access and social networks. These decisions require knowing the value of the slum to those who live there. We study the tradeoff between reducing the exposure of households to flooding and preserving their access to economic and social opportunities in the context of flood-prone slums in Freetown, Sierra Leone. We survey a panel of 3,000 households across a rainy season to measure the costs of flooding, how households adapt, and their access to jobs and markets. In a separate sample of 1,200 households, we elicit preferences over neighbourhoods and willingness to move, and for a randomly selected subset make real offers of rental subsidies for alternative homes. We use these preferences to estimate the value households place on remaining in flood-exposed neighbourhoods. We separate the value of avoiding flood risk from other neighbourhood amenities and the costs of moving, and combine these estimates with market rents in a quantitative model to compare redevelopment in place versus relocation.

Productivity and the Grid: The Welfare Cost of Spatially Unequal Electricity in Accra

Abstract: Electricity supply in Accra is spatially unequal and unreliable. The central business district enjoys near-perfect reliability, while peripheral neighbourhoods face frequent and unpredictable outages. This targeting creates a tradeoff. Outages are costly for firms and workers in peripheral locations, and deter entry. At the same time, concentrating outages keeps a few central locations reliable, and these pockets of reliability help sustain the clustering of firms and productive agglomeration. Spreading outages evenly would lower the cost of entry for firms, who no longer have to compete for expensive floorspace in the reliable core, but weaken agglomeration. I build and estimate a quantitative spatial equilibrium model in which electricity is a constrained production input and firm entry is dynamic. Forward-looking firms choose where to locate based on the supply they expect each neighbourhood to receive in the future. I use detailed feeder-level outage data from the Electricity Company of Ghana, combined with Business Census data, to measure whether the current concentration of outages raises or lowers welfare relative to randomly allocated outages across space.

Planning and Housing Supply
with Felix Iglhaut

Abstract: Housing construction rates in England are near their lowest level in a century. We explore two potential reasons that may be driving this fact. The first is planning, and how development of the planning system may have contributed to this slowdown. The second is concentration of developers in the construction market, where the ten largest housebuilders are now delivering half of all new homes in the UK. We assemble a database of all 18.7 million planning applications filed in England and Wales since 1999, including applications withdrawn, refused or overturned on appeal. We link each to the corporate group that owns the land, neighbourhood characteristics, and residential sales. Following projects from application to

permission, construction and sale, we measure how many homes are applied for, permitted and built, and document how housing supply changes across space and over time.

Research Grants

Over US$800,000 in 15 awards from 8 funders, as PI or co-PI

Rebalancing Water (JMP)	IGC (2024, £22,750); Weiss Fund (2024, US$9,050); STICERD (2026, £5,000)
Productivity and the Grid	IGC Small Project Fund (2024, £11,500); STEG PhD Research Grant (2025, £11,550)
Climate Security and Informal Settlements	IGC (2024, £112,000; 2025, £19,996; 2026, £18,527); STEG (2025, £99,000; 2026, £45,780); LSE GSoS (2025, £99,043); OPEC Fund (2026, US$105,000); GiveWell (2026, US$66,000); J-PAL K-CAI (2025, US$27,896); Weiss Fund (2024, US$11,340); STICERD (2025, £5,000)

Conference Presentations

2026	NBER Summer Institute (Urban); Urban Economics Association Annual Meeting; Environment Week; LSE Environment Camp; Queen Mary PhD Conference
2025	Urban Economics Association Annual Meeting; Collegio Carlo Alberto PhD Conference

Teaching

Undergraduate	Microeconomics I (EC1A3; 4.9, 4.9); Macroeconomics I (EC1B3; 4.8); Trade and Globalisation (EC335; 4.9, 5.0)
Summer School	Macroeconomics (EC102; 4.8); Development Economics (EC307; 4.9, 4.7)
Master's	Development Economics (PP454; 5.0)
Executive	Introduction to Statistics (PP430E); Introduction to Public Policy (PP4G8E, PP4J1E); Empirical Methods for Public Policy (PP455E); Global Market Economics (PP421E); average 4.7
Awards	Class Teacher Award (Department of Economics, 2025); Highly Commended (School of Public Policy, 2025); Highly Commended (Department of Economics, 2023)

Scores are overall teaching ratings out of 5, one per year taught.

Professional Service

Referee: Journal of Urban Economics
Organising Committee: LSE Environment Week (2024 – 2026); LSE Environment Camp (2024 – 2026)

Experience

Research Assistant	Profs Gilat Levy and Ronny Razin, LSE	2022 – 2023
Economist	AlixPartners	2020 – 2021
Research Assistant	Prof Guido Tabellini, Bocconi University	2019 – 2020
Research Assistant	Prof Massimo Morelli, Bocconi University	2018 – 2020

Additional Information

Citizenship	Italian
Fellowships	LSE PhD Scholarship (2021 – 2027)
Languages	Italian (native), English (fluent), French (intermediate)
Programming	R, Python, Stata, MATLAB